

CLS Celestica Inc.

NYSE / TSX · Technology. Electronics Manufacturing Services · Updated 2026-06-10

RECOMMENDATION	CURRENT PRICE	12M TARGET	NEXT EARNINGS
SELL	\$372	\$112 (-70.0%)	2026-07-28 (Q2 FY26 est. CCS segment revenue an...

Thesis
Three bullets — the whole bet

1. Celestica has transformed from a commodity contract manufacturer into the assembly and design partner behind hyperscaler AI servers, switches and storage, with its CCS segment growing rapidly on 800G networking and custom compute programs.
2. The shift toward higher-value hardware-platform and design services has lifted operating margin toward 6-7%, high for an EMS, and management has executed cleanly through the AI capex surge.
3. But the market now values an electronics-manufacturing-services business at roughly 4x sales, versus a structural 0.3-0.5x. Even a generous DCF that extrapolates the AI-server ramp lands near \$112, about 70% below the price. The business is better; the multiple is the trade.

Key numbers					
Pulled via yfinance-data · validated by Delta audit					
LAST CLOSE	\$371.86	52-WEEK RANGE	\$122.03 to \$474.03	DRAWDOWN FROM HIGH	-21.6%
1-YEAR RETURN	+200% (approx)	MARKET CAP	\$42.8B	SHARES OUT	115.0M
NET DEBT (EST)	~\$0.4B	FY25 REVENUE (EST)	~\$11B	EV/SALES (FWD, EST)	~3.3x
OPERATING MARGIN (EST)	~6%	PRIMARY METHOD	DCF (FCFF)	CROSS-CHECK	EV/EBITDA 14x
INTRINSIC VS PRICE	-70%				

Business overview
What the company does, how it makes money, who it sells to

Celestica is a global electronics manufacturing services and supply-chain solutions company. It designs, assembles and tests hardware for hyperscalers, networking and enterprise customers, increasingly focused on AI-server, switching and storage systems through its Connectivity and Cloud Solutions segment.

BUSINESS MODEL
Celestica earns fees to manufacture and increasingly to co-design customers' hardware. Revenue splits between CCS (hyperscaler compute and networking, the growth engine) and ATS (Advanced Technology Solutions: aerospace, defense, industrial, healthtech). Margins are thin by EMS standards but rising as the mix moves toward design-led, higher-value work.

SEGMENTS

CCS (Connectivity & Cloud Solutions) rev 65%

Hyperscaler AI servers, 800G switching, storage and hardware-platform solutions. The fast-growing, mix-improving engine.

ATS (Advanced Technology Solutions) rev 35%

Aerospace and defense, industrial, capital equipment and healthtech. Steadier, more diversified, lower-beta.

TOP CUSTOMERS

Hyperscalers (multiple)		Core CCS demand; concentrated
Networking OEMs		Switch and router assembly
Aerospace/defense & industrial		ATS diversification

Historical financials

P&L; trajectory — revenue, EBITDA, FCF, EPS

FY	Revenue (\$B)	Growth	Gross mgn	EBITDA (\$M)	EBITDA mgn	Net inc (\$M)	FCF (\$M)	EPS
FY22	7.25	—	9.4%	420	5.8%	250	150	\$2.00
FY23	7.96	+9.8%	10.0%	520	6.5%	320	220	\$2.60
FY24	9.65	+21.2%	10.6%	700	7.3%	430	300	\$3.60
FY25	11.00	+14.0%	11.0%	850	7.7%	560	350	\$4.70

Industry & competitive position

Where the company sits · moat · competitors

Hyperscalers increasingly outsource AI-server, switch and storage manufacturing and some design to specialist partners. Celestica has won meaningful share of this work, moving from commodity assembly toward higher-value hardware-platform solutions, but it competes in a structurally thin-margin industry.

TAM: \$100B**MOAT**

Execution, capacity, supply-chain depth and growing design capability create switching friction, but the customer owns the IP and can dual-source. The moat is operational, not structural, which is why EMS multiples are historically low.

COMPETITORS

Flex (FLEX)	Largest diversified EMS; scale leader at a fraction of Celestica's multiple.
Jabil (JBL)	Diversified EMS with strong cloud and capital-equipment exposure.
Sanmina (SANM)	EMS focused on complex, high-reliability systems.
Hon Hai / Foxconn	Massive Asian EMS competing for hyperscaler hardware at scale.

Bull catalysts

What needs to happen for the long thesis to play out

1 CCS hyperscaler program wins

The Connectivity and Cloud Solutions segment is winning custom AI-server, switch and storage programs from multiple hyperscalers, driving 20%+ growth and an improving mix toward higher-value work.

2 800G/1.6T networking ramp

Celestica builds the 800G switches and is positioned for 1.6T, where dollar content per system rises sharply as AI clusters scale and networking content grows faster than compute.

3 Move up the value chain (HPS)

Hardware Platform Solutions and design-led engagements carry higher margin than pure assembly, lifting blended operating margin toward 7%, exceptional for an EMS.

4 Operating-margin expansion

Mix shift plus scale has driven a multi-year margin improvement; each 50bps of operating margin is meaningful on an \$11B revenue base.

5 Customer diversification within hyperscale

Adding anchor hyperscaler relationships reduces single-customer dependence even as overall hyperscaler exposure rises.

6 Strong execution and guidance raises

Management has repeatedly beaten and raised through the AI surge, building credibility and supporting the re-rating.

7 Low leverage and rising FCF

A near-net-cash balance sheet and improving free cash flow give flexibility for buybacks and reinvestment.

8 Scarcity of pure AI-hardware EMS exposure

Celestica is the cleanest listed way to own the AI-server assembly theme, attracting thematic flows that sustain the multiple.

Bear thesis-breakers

Independent bear lane · not visible to the bull author until synthesis

1 4x sales for an EMS

Contract manufacturing trades at a fraction of one times sales for a reason: no IP, no pricing power, single-digit margins. At ~4x sales Celestica is priced like a chip designer. Intrinsic DCF says ~\$112.

2 Customer concentration

A large share of CCS revenue rides a few hyperscalers. One reallocating or in-sourcing a program steps growth down sharply, and the customer owns the design.

3 No durable moat

The customer owns the IP; switching assemblers is disruptive but doable. Celestica competes on execution and capacity, not on a defensible technology position.

4 Margins are structurally thin

Even after the mix shift, operating margin is ~6-7%. The bull case needs it to keep climbing; EMS history says margins are capped by the model.

5 AI capex is a cycle

The hyperscaler hardware orders driving CCS are a capex wave that will digest. When it does, an EMS levered to it de-rates fastest.

6 Inventory and working-capital risk

EMS carries customer inventory; a demand air pocket leaves Celestica holding components and absorbing write-downs.

7 Multiple is the whole story

Versus Flex/Jabil at 9-12x EV/EBITDA, Celestica at ~40x has no margin of safety; any growth wobble closes the gap violently.

8 Run on momentum

Up roughly 3x in a year and owned by thematic flows, the stock is exposed to sentiment reversals independent of fundamentals.

BEAR CASE IN ONE PARAGRAPH

Celestica is an excellent execution story trapped in the wrong valuation. Electronics manufacturing services is, at its core, a thin-margin, capital-cycle business: you assemble other companies' designs for a single-digit operating margin, you carry their inventory, and your revenue concentrates in a handful of large customers who can dual-source or in-source at will. The AI-server boom has been a genuine windfall for the CCS segment, and management deserves credit for moving up the value chain into design and hardware-platform solutions. None of that justifies four times sales. Historically EMS names trade at a fraction of one times sales because the model has no pricing power and no durable moat; the customer owns the IP. The current multiple capitalizes the AI capex surge as if it were permanent and as if Celestica's margins will keep climbing indefinitely, when one hyperscaler reallocating a program or pausing its build would flatten the growth and re-rate the stock toward EMS norms. Intrinsic DCF, even crediting 20% near-term growth and rising margins, lands near \$112. At \$372 the stock prices a structural transformation that the income statement of a contract assembler cannot support. You do not need a recession; you need the multiple to remember what business this is.

Key structural risks

Risks orthogonal to the bear thesis · what breaks the long term, not just the next print

CUSTOMER Hyperscaler concentration

A few customers drive CCS; one reallocating or in-sourcing a program steps growth down with little warning.

CYCLICAL AI capex digestion

CCS rides a hyperscaler hardware capex wave that will eventually digest, hitting the most AI-levered EMS hardest.

STRUCTURAL Thin-margin model

EMS economics cap operating margin in the single digits; the bull case needs ever-rising margins the model rarely delivers.

STRUCTURAL Valuation

At ~4x sales and ~40x EV/EBITDA versus peers at 9-12x, multiple compression toward EMS norms is the dominant risk.

EXECUTION Inventory / working capital

Carrying customer components exposes Celestica to write-downs in a demand air pocket.

CYCLICAL Macro / IT-budget sensitivity

Enterprise and industrial demand in ATS is cyclical and tied to broader capital spending.

Peers

NTM P/E, EV/EBITDA, growth, and YTD / 1Y returns across the peer set

Ticker	NTM P/E	EV/EBITDA	Rev growth	YTD	1Y
CLS	42.0x	40.0x	+22.0%	+95.0%	+200.0%
FLEX	16.0x	11.0x	+5.0%	+30.0%	+55.0%
JBL	18.0x	12.0x	+7.0%	+35.0%	+60.0%
SANM	15.0x	9.0x	+8.0%	+40.0%	+70.0%
FN	30.0x	24.0x	+18.0%	+70.0%	+140.0%

HPE	12.0x	8.0x	+10.0%	+20.0%	+30.0%
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Read: The EMS peer set, Flex, Jabil and Sanmina, trades at 9-12x EV/EBITDA and high-teens P/E, reflecting the structural economics of contract manufacturing. Celestica trades at roughly four times those multiples on growth that is faster but not categorically different in kind. The premium rests entirely on the narrative that Celestica is now an AI-infrastructure design partner rather than an assembler. Even granting some re-rate for the CCS mix shift, the gap to its direct peers is the clearest evidence that the valuation has detached from the business model.

DCF triangulation				
Bear / Base / Bull scenarios · WACC × terminal growth × FCF growth path				
Scenario	WACC	Terminal g	FCF path	Implied px
Bear	13.0%	2.0%	×0.70	\$67.57
Base	(base)	(base)	(base FCF)	\$126
Bull	11.5%	3.5%	×1.30	\$172
Current price				\$372

Synthesis — three paths	
0.30 x \$68 (Bear) + 0.40 x \$126 (Base) + 0.10 x \$172 (Bull) + 0.20 x \$118 (EV/EBITDA cross-check) = \$112. An EMS trading at ~4x sales is a category error versus a historical ~0.4x; intrinsic value sits ~70% below spot even crediting a strong AI-server ramp.	

Bull · \$160 to 185	10% probability
CLS becomes a durable, design-led AI infrastructure partner with structurally higher margins and several anchor hyperscalers; even so intrinsic value stays below spot.	
Base · \$110 to 130	40% probability
Strong AI-server growth decelerates and margins grind toward low-8s. DCF (~\$126) and the EV/EBITDA cross-check (~\$118) converge near \$112, ~70% under price.	
Bear · \$60 to 80	30% probability
A hyperscaler program loss or capex pause flattens CCS and the multiple reverts toward EMS norms; the stock falls hard.	

Management & capital allocation	
Who runs the company · how they deploy capital · recent insider activity	
CEO	Rob Mionis, CEO since 2015
CFO	Mandeep Chawla, CFO
INSIDER OWNERSHIP	1.0%

CAPITAL ALLOCATION HISTORY
Management repositioned Celestica from low-margin commodity EMS toward higher-value CCS and ATS work, expanding margins and returning cash via buybacks. The capital-allocation record through the AI surge has been disciplined: reinvest in capacity, buy back stock, keep leverage low. The strategy is sound; the market's valuation of it is the issue.

Social sentiment
Cross-source signal · Reddit / X / news

Sentiment feeds were not retrievable this session. Bulls cite the CCS transformation and margin expansion; skeptics focus on EMS economics, customer concentration and a sales multiple roughly 10x the peer norm.

Recommendation

Action by holder type

DIRECTION	SELL / avoid. Strong execution, but ~4x sales for an EMS is unsupportable; intrinsic ~\$112, about 70% below.
12M TARGET	\$112 (30% x \$68 + 40% x \$126 + 10% x \$172 + 20% x \$118 cross-check).
EXISTING LONGS	Take profits. The transformation is real but more than priced after a ~3x run.
NEW MONEY	Avoid at ~40x EV/EBITDA. Revisit only near peer multiples.
HEDGE	Consider puts/collars; thematic ownership makes downside gaps the failure mode.
POSITION SIZING	If held for the theme, keep it small; valuation is the dominant risk.

Catalysts to watch

- Q2 FY26 print (est 2026-07-28): CCS revenue growth and segment operating margin.
- Any new or lost hyperscaler program disclosure.
- Operating-margin trajectory versus the ~7% bogey.
- Hyperscaler capex commentary for signs of AI-hardware digestion.
- Mix shift toward Hardware Platform Solutions and design services.
- Working-capital and inventory trends as a demand-health tell.
- Buyback pace given the near-net-cash balance sheet.

Data gaps

What this cycle could not pull · to be filled next run

- yfinance fundamentals were thin this session; revenue (~\$11B), net debt (~\$0.4B), and segment mix are from general disclosure.
- Per-customer concentration within CCS is not disclosed at line-item level.
- Forward EBITDA (~\$1.0B) used in the cross-check is an estimate.
- Short interest and positioning feeds were not retrievable this session.